Why the Cab Playbook Failed for Auto Rickshaws

Lessons from scaling Ola Auto from 30,000 to 600,000 rides per day

When Ola expanded beyond cabs, we assumed autos would behave like a smaller version of the same marketplace. They didn't.

What we missed

Cab drivers optimized for monthly earnings. Auto drivers had a different goal, earn enough for the day and go home. In 2016, that number was often ₹1,400.

Once that threshold was reached, behavior changed completely. Drivers became selective, avoided traffic traps, waited for better rides, rejected trips that looked inefficient regardless of incentives.

The marketplace wasn't broken. Our assumptions were.

What changed

We stopped treating auto drivers as a vehicle category and started treating them as a different economic actor. Pricing changed. Allocation changed. The interface changed — locality names instead of precise addresses, expected earnings instead of destination details.

The outcome

Ola Auto scaled from 30,000 to 600,000 rides per day with significantly improved marketplace economics.

What stayed

People rarely behave the way systems assume they will.

The fastest path to scale is redesigning the system around reality, not convincing people to change.

What began as a marketplace problem at Ola eventually became a broader question that has followed me across different domains:

How do we build systems that adapt to the realities of the people using them, rather than expecting people to adapt to the system?

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